

lot of claims. Try and buy online to cut out the agent commission.

This is a frill-free product; you don't need to worry about the agent's livelihood. Most insurance companies now have systems that anyway remind you before the premium is due. Your fourth cell in the money box now has a product.

Almost There cell

These are investments you make for needs that are two to three years in the future. The products in this cell are similar to the ones in the emergency cell. Use either FDs, if you don't understand funds and are not willing to take on a higher risk for your short-term needs, or an ultra-short-term debt fund or conservative hybrid mutual fund that have a maximum equity exposure of 25 per cent, and keep the rest in bonds.

We don't want a pure equity fund for this cell, because equity can be volatile and we want certainty about the availability of the money. This is your fifth cell now looking good.

In Some Time investments

These are for needs that are three to seven years in the future. For different age groups, the goals are different. From this cell on, the use of equity becomes really important. I've explained equity in great detail earlier. It is safe if you follow the rules. Mutual funds are safer than direct stock-picking. And you have no recourse but to learn about them.

The closer your goal is to three years, the larger the proportion of safer products; and the nearer it is towards the seven-year mark, the more risk your portfolio can handle. For a goal that is three years away you can use a mix of ultra-short-term debt funds and conservative hybrid mutual funds, with the mix tilted towards the debt funds.

For a goal closer to seven years, go fully into aggressive hybrid mutual funds and diversified equity funds. I would do a mix of aggressive hybrid funds and